

“I thought of selling, but I invariably sell a week or two before the stock bottoms. It's annoying. What helped me this time was when I noticed the bearish AB=CD pattern.”

His software helped by providing the location for him. Let's run through the numbers. The low at point A was 37.13, the high at B was 43.14, and the low of price bar C was 38.42. Crunching the numbers said that the ratio of BC to BA was $(43.14 - 38.42)/(43.14 - 37.13)$ or 78.5%. That was close to the 78.6% Fibonacci number, so the turn matched the identification guidelines ([Table 2.1](#)).

If the pattern worked as he hoped, the CD leg would equal or exceed the AB leg and make for a tasty profit.

The height of the AB move was $43.14 - 37.13$ or 6.01. Added to the low at C (38.42) gave a target for turn D of 44.43.

“I doubled my position right there,” he said and poked the screen, leaving a fingerprint behind. The second buy was near C, and he set a target to sell both positions at 44.43. “I raised my stop, too, to a penny below C. Just in case...”

The stock took off in a straight-line run up to D. The stock sold at the exact high at D, 44.43, cashing him out of the AB=CD trade and also out of the double bottom trade.

“Let's do lunch,” he said. “I'll let you buy.”